Chapter 3 - Summary – Extra Questions

SOLUTIONS

1. Taxable Benefits Under Paragraph

a)Registered pension plan contributions – **not taxable** exempt 6(1)(a)	$0
b)Extended health care premiums – **not taxable** exempt 6(1)(a) - private health care plan	$0
c)Dental plan premiums - **not taxable** exempt 6(1)(a) - private health care plan	$0
d)Tuition fees for a quilt making course at the local high school – taxable	
- the tuition is tax free only if it benefits the employer	$75
e) Christmas gift (turkey and food hamper) – **not taxable** - gift is non-cash and under $ 500	$0
f) Subsidized lunches in the cafeteria – **partially taxable**	
- actual cost – amount paid = taxable benefit - $450 – $300 = $150	$150
g) Membership fees at Hillcrest Golf and Country Club – **taxable**	
- membership fee is not for employer's benefit	$1,500
h) Financial counseling – RBC Investments – **taxable** 6(1)(a)(iv)(B) - taxable unless for retirement or re-employment	$ 700
TOTAL	**$2,425**

2. Employment Insurance Benefits

2023	Total disability payments received ($1,500 x 12 months)	$ 18,000
	Less: Premiums paid by Mr. A ($7.50 x 12 months x 5 years)	450
	Taxable benefit	17,550
2024	Total disability payments received ($1,500 x 2 months)	$ 3,000
	Less: Premiums paid by Mr. A ($7.50 x 10 months)	75
	Taxable benefit	$ 2,925

Note 1: Premiums paid by the employer are not taxable 6(1)(a) – the payments are made for lost wages. However, because the employer pays part of the premiums for the plan the money received from the plan is taxable. If the employer had not contributed to the plan the $18,000 and $3,000 would not have been taxable.

3. Low Interest Loan Received From Employer

On September 1 – borrowed 75,000

Down-payment on a motor home	50,000
Car (used for employment – 70%)	15,000
Shares of West Jet	10,000

a. Motor home

Prescribed interest

3rd Quarter (Sept)	50,000 x 5% x 1/12 =	208.33
4th Quarter (Oct – Dec)	50,000 x 7% x 3/12 =	875.00
		1,083.33
Less: interest paid	50,000 x 2% x 4/12 =	333.33
Interest Benefit		**750.00**

b. Car

Prescribed interest

3rd Quarter (Sept)	15,000 x 5% x 1/12 =	62.50
4th Quarter (Oct – Dec)	15,000 x 7% x 3/12 =	262.50
		325.00
Less: interest paid	15,000 x 2% x 4/12 =	100.00
Interest Benefit		**225.00**

Note: You can deduct the employment portion of the car interest paid and benefit which is 325.00 x 70% = 227.50.

3. Low Interest Loan Received From Employer (cont'd)

c. Shares

Prescribed interest

3rd Quarter	10,000 x 5% x 1/12 =	41.67
4th Quarter	10,000 x 7% x 3/12 =	175.00
		216.67
Less: interest paid	10,000 x 2% x 4/12 =	66.67
Interest Benefit		**150.00**

Note: You can deduct 216.67 as a carrying charge and interest expense

Total Interest Benefit = $750 + 225 + 150 = **$1,125**

Alternate Calculation:

Prescribed interest

3rd Quarter	75,000 x 5% x 1/12 =	312.50
4th Quarter	75,000 x 7% x 3/12 =	1312.50
		1,625.00
Less: interest paid	75,000 x 2% x 4/12 =	500.00
Interest Benefit		**$1,125.00**

4. Low Interest Loan Received From Employer

On May 1 – borrowed 35,000

Down-payment on a boat	20,000
Car (used for employment – 60%)	10,000
Shares	5,000

a. Boat loan

Prescribed interest

2nd Quarter (May-June)	20,000 x 6% x 2/12 =	200.00
3rd Quarter (July – Sept)	20,000 x 8% x 3/12 =	400.00
4th Quarter(Oct – Dec)	20,000 x 7% x 3/12 =	350.00
		950.00
Less: interest paid	20,000 x 3% x 8/12 =	400.00
Interest Benefit		**550.00**

b. Car

Prescribed interest

2nd Quarter (May – June)	10,000 x 6% x 2/12 =	100.00
3rd Quarter (July – Sept)	10,000 x 8% x 3/12 =	200.00
4th Quarter (Oct – Dec)	10,000 x 7% x 3/12 =	175.00
		475.00
Less: interest paid	10,000 x 3% x 8/12 =	200.00
Interest Benefit		**275.00**

4. Low Interest Loan Received From Employer (cont'd)

Note: You can deduct the employment portion of the car interest paid and benefit which is 475.00 x 60% = 285.00.

c. Shares

Prescribed interest

2nd Quarter (May – June)	5,000 x 6% x 2/12 =	50.00
3rd Quarter (July – Sept)	5,000 x 8% x 3/12 =	100.00
4th Quarter (Oct – Dec)	5,000 x 7% x 3/12 =	87.50
		237.50
Less: interest paid	5,000 x 3% x 8/12 =	100.00
Interest Benefit		**137.50**

Note: You can deduct 237.50 as a carrying charge and interest expense

Total Interest Benefit = $550 + 275 + 137.5 = **$962.50**

Alternate Calculation:

2nd Quarter	35,000 x 6% x 2/12 =	350.00
3rd Quarter	35,000 x 8% x 3/12 =	700.00
4th Quarter	35,000 x 7% x 3/12 =	612.50
		1,662.50
Less: interest paid	35,000 x 3% x 8/12 =	700.00
Interest Benefit		**962.50**

5. Employment Insurance Benefits

2023	Total disability payments received ($2,000 x 12 months)	$ 24,000
	Less: Premiums paid by Mr. W ($10 x 12 months x 9 years)	1,080
	Taxable benefit	$ 22,920
2024	Total disability payments received ($2,000 x 6 months)	$ 12,000
	Less: Premiums paid by Mr. W ($10 x 6 months)	60
	Taxable benefit	$ 11,940

Note 1: Premiums paid by the employer are not taxable 6(1)(a) however because the employer pays part of the premiums for the plan the money received from the plan is taxable. If the employer had not contributed to the plan the $24,000 and $12,000 would not have been taxable.

6. Calculation of Income from Employment

Salary (gross)	$73,000.00
Taxable benefits:	
Auto benefit – Note 1	5,183.62
Interest benefit – Note 2	462.50
Group Disability income – Note 3	300.00
Gym membership – Note 4	1,100.00
Gift (cash equivalent)	300.00
Total Employment Inclusions	**$80,346.12**

Note 1 – Auto Benefit

Business Use – 16500 / 25000 = 66%

Standby Charge:

Standby Charge = [2% x cost of car x period of availability]
= 2% x $45,000 x 10 months = $9,000

Reduced Standby Charge
* Business use is greater than 50%
= Standby Charge x Non-Employment Kilometers / 1667 per month of Availability
= $9,000 X [8500/(1667x10)] = **$4,589.08**

Operating Cost Benefit:
* Business use is greater than 50%

Primarily employment - ½ X Standby Charge = ½ X 4,589.08 = **$2,294.54**
Or
$0.33 per non-employment kilometer = $0.33 X 8500km = $2,805.00

Auto Benefit

Standby Charge	$4,589.08
Operating Cost Benefit	2,294.54
Less: Reimbursement	(1,700.00)
Total Automobile Benefit	**$5,183.62** (add to employment income)

Note 2 – Interest Benefit

Prescribed Interest	
- 2nd quarter ($15,000 x 5% x 2/12)	$125.00
- 3rd & 4th quarters ($15,000 X 4.5% X 6/12)	337.50
Less Interest paid	0.00
Interest Benefit	**$462.50**

Note 3 – Group Disability Plan

Income received (2 months X $750)	$1,500
Less: Premiums paid (4 years X $300)	(1,200)
Net Disability Income	**$ 300**

Note 4 – Gym Membership

The gym membership is not for the benefit of the employer. The employer does not provide a gym membership to all employees. As a result of these facts, the gym membership is considered a taxable benefit and is included in Ms. Bell's income.

Note 5 – Amounts not Included in Income

RPP contributions by employer – excluded from income per 6(1)(a)
Private health plan provided by employer (dental plan) – excluded per 6(1)(a)
Special work site (remote northern Sask.)

- Board and Lodging not included in income

7. Sales Person Dilemma

We need to compute the allowable expenses under 8(1)(f) [Sales Person] and 8(1)(h)/8(1)(h.1) [Motor Vehicle Expenses]:

Under 8(1)(f):

Allowable expenses:	Advertising and Promotion	2000	
	Entertainment (@ 50%)	750	
	Travel Expenses	8000	
			10750
Cap on Expenses (Commission Income)			7500

Therefore, the maximum expenses using 8(1)(f) is **$7,500** (the lesser of the two amounts)

Under 8(1)(h)/8(1)(h.1)

Allowable expenses:	Travel Expenses	8000

Therefore, given the above, Joan should use 8(1)(h) and 8(1)(h.1) to claim $8,000 in vehicle and travel expenses

Under 8(1)(j)

CCA for car	2000
Interest on car loan	3000
Total 8(1)(j)	5000

Note: We claim the CCA and the Interest on the vehicle under 8(1)(j) and not part of the 'Sales Person Dilemma' in 8(1)(f) or 8(1)(h.1) (i.e., the CCA and vehicle interest are claimed regardless of whether 8(1)(f) or 8(1)(h.1) is chosen).

Employment Expenses

8(1)h/8(1)(h.1)	8000
8(1)(j)	5000
Total Employment Expenses	13000

8. Net Employment Income

	Gross Employment Income		100,000.00	
Add:	Automobile Benefit	2,249.46		(Note #1)
	Disability ($5,000 - 200 - 200)	4,600.00	6,849.46	
Less:	RPP Contribution (Employee Portion)	4,980.00		
	Work Space in Home	987.50	5,967.50	(Note #2)
	NET EMPLOYMENT INCOME		**100,881.96**	

Note #1: Qualify for Standby Charge and Op Cost Benefit Reduction?

Employment KM / Total KM	=	29000 / 32000	=	90.63% Yes - Reduction Applies (>50% employment us

Standby Charge: (2% x Cost x Availability) x Reduction Formula
(2% x $50,000 x 9 mths) x [3,000 / (1,667 x 9)]
1799.64

Op Cost Benefit: Lesser of: i) 33 cents x Personal KM = 0.33 x 3,000 = 990.00
ii) 1/2 of Standby Charge = **899.82**

Therefore, Auto Benefit is:

1799.64	Standby Chg
899.82	Op Cost Benefit
-450.00	Reimbursement
2249.46	

Note #2: Calc'n of Work Space in Home:

Mortgage Interest	0	(Never get this)
Property Taxes	0	(Only get if claiming under 8(1)(f) - Sales Person - No Commission in this question)
House Insurance	0	(Only get if claiming under 8(1)(f) - Sales Person - No Commission in this question)
Utilities	6500	
Subtotal	6500	
x Work Space Usage %	0.075	(150/2000)
Subtotal	487.50	
+ Minor Repairs (Exclusive to Office)	500	
TOTAL	987.50	

Comments:

- The Federal Income Tax withheld at source is not an income tax expense, but is simply netted from his taxes owing for the year once computed.

- CPP and EI contributions from the employee are not deductible expenses (instead they are used in computing a taxpayer's tax deductions and credits - covered in Ch #4)

- Contributions to Group Disability Plan are not immediately deductible (instead, we keep track of the contributions and then claim as an expense when we utilise the benefit plan)

- The employer's contribution to the RPP plan is not taxable as employment income to employee (instead it is taxable once the employee retires and draws from the retirement plan)

- The employer's contribution to the disability plan taints the plan and makes the proceeds taxable

- The employer's contribution to the group dental plan is not taxable to the employee

- Gym is non-taxable to employee

- Ignore the Professional Dues since employer paid for them (non-taxable benefit)

- The watch gift is below the $500 threshold and therefore non-taxable

9. Reimbursements and Allowances

a) The allowance could be considered unreasonable (since it is not even 50% of the actual costs. Therefore, allowance is included in income and she can calim actual expenses.

b) The allowance rate is reasonable and the employment portion is not taxable.
Travel to and from home is personal and she'll have a taxable benefit of $180 ($.45 X 400KM)